

ECO 101 Tutorial 2: Gains from Trade

- Q1.** Claire and Jamie can either build chairs or build tables within the 10 hours of time each has. The time they need to produce one unit of each is in the table below. Based on this information, Claire's Opportunity Cost of an extra table is:

Person	Chairs	Tables
Claire	$\frac{3}{4}$ hour per chair	$\frac{1}{2}$ hour per table
Jamie	$\frac{4}{3}$ hours per chair	2 hours per table

- A. $\frac{2}{3}$ chairs.
- B. $\frac{3}{8}$ chairs.
- C. 1.5 chairs.
- D. 3 chairs.
- E. $\frac{8}{3}$ chairs.

- Q2.** Zuri and Aneka can either build robots or write code with the 10 hours of time they have. Based on this information in the table below, _____ has the absolute advantage in robot production and _____ has the comparative advantage in robot production.

Person	Robots	Lines of code
Zuri	$\frac{3}{4}$ robots per hour	$\frac{1}{2}$ lines per hour
Aneka	$\frac{3}{4}$ hours per robot	$\frac{1}{2}$ hours per line

- A. Zuri; Aneka
- B. Zuri; Zuri
- C. Aneka; Aneka
- D. Aneka; Zuri
- E. Neither; Neither

- Q3.** Workers in each of two countries, Wessex and Mercia, can either produce wheat or swords. The table shows, for each country, how many of each can be produced with 1000 workers. Based on this information we can predict that if they trade...

Country	Wheat	Swords
Wessex	15 per 100 workers	12 per 100 workers
Mercia	30 per 100 workers	20 per 100 workers

- A. Neither country benefits from trading.
- B. Wessex should fully specialize in wheat.
- C. Wessex should fully specialize in swords.
- D. Wessex should export wheat.
- E. Wessex should export swords.

- Q4.** Workers in each of two countries, Wessex and Mercia, can either produce wheat or swords. The table shows, for each country, how many of each can be produced with 1000 workers. Based on this information the price of 1 sword that makes both of them better off is ...

Country	Wheat	Swords
Wessex	15 per 100 workers	12 per 100 workers
Mercia	30 per 100 workers	20 per 100 workers

- A. 1.6 wheat
 - B. 1 wheat
 - C. 0.7 wheat
 - D. 0.6 wheat
 - E. None of the above.
- Q5.** Aardwolf has 10 hours on the weekend to split between cooking and cleaning. Assume constant Opportunity Cost. Consider his PPF with meals cooked on the y-axis and cleaning tasks on the x-axis. If Aardwolf gets a roomba and can now complete more cleaning tasks in the same time, compared to before. How does his PPF change?
- A. The PPF remains unchanged.
 - B. The PPF becomes steeper.
 - C. The PPF becomes flatter.
 - D. The PPF has a parallel shift outwards.
 - E. The PPF has a parallel shift inwards.